Session 1: Financial Accounting

Terms:

Private Limited Company: A private limited company (Pvt Ltd) is a business entity that limits the liability of its owners and restricts the transfer of its shares

Public Limited Company: A public limited company (PLC) is a business that sells shares to the public and is listed on a stock exchange

Authorised Capital: Authorized capital is the maximum amount of capital a company can legally raise by issuing shares. It's also known as nominal or registered capital

Paid up Capital: Paid-up capital is the money that shareholders have paid for their shares, representing the portion of the company that they own.

Face Value: The nominal price of a share is its face value.

Share Premium: A share premium is the amount of money a company receives for its shares that is above their face value. It's the difference between the face value of the shares and the actual market value that a shareholder pays for them.

Venture Capital: Venture capital (VC) is a type of financing that funds startups and early-stage companies with high growth potential. VC firms raise money from limited partners (LPs) to invest in these companies. In exchange for their investment, VC firms gain ownership stakes in the companies they support

Case on Company Shareholding Pattern

Anurag, Balram and Chirag had an idea and started their business. Form of Business they selected was a Private Limited Company. They completed all the process required, submitted papers to Registrar of Companies and named their company ABC private Limited. They took permission from RoC for Authorised Capital of 5,00,000 (Five lakhs) shares of Face Value Rs 10 each. So total Authorised Capital for the company is ₹50,00,000 (Fifty Lakhs).

Anurag, Balram and Chirag contributed ₹10,00,000 each, for 1,00,000 shares. So, they got 1,00,000 shares at ₹ 10 each. Hence now the company has paid up capital of ₹30,00,000 (3,00,000 shares @ ₹10 each)

So the Capital of the company is ₹30,00,000

They started operation, and was performing good, in First year earned net profit after deducting all expenses was Rs 3,30,000.

Earning/Profit per share= Net Profit/No. of shares= 3,30,000/3,00,000 = ₹ 1.1 per share

Management decided to give a part of the profit, 40% to share holders (means to A,B, C) and retain remaining profit in the company for reinvestment purpose.

Part of Profit given to share holders is known as Dividend. And Profit retained is known as Retained Earnings.

Divided paid per share= 3,30,000*40%/3,00,000= 132,000/3,00,000=₹ 0.44 per share.

Retained Earnings= 3,30,000*60%= ₹ 1,98,000

Now, company needed more funds and approached a Venture Capitalist (VC1), to invest money in the company. They offered each share at ₹ 30, (₹ 10, Face Value and ₹20 as premium) as now the company was profitable and had good future scope.

VC1 purchased 50,000 shares from the company by paying ₹ 30 per share, so ₹10*50,000= ₹5,00,000 contributed towards share capital and ₹ 20*50,000= ₹ 10,00,000 contributed towards share Premium account.

Since the entire shares were purchased from company's authorised capital, it is known as Fresh issue. And now the paid-up capital of the company is ₹35,00,000.

Again company needed more funds, so they planned to go for 2nd round for raising capital and this time they offered their shares to VC2 @ ₹ 40, ₹ 10 Face Value and ₹ 30 as premium.

This time company's management decided they will sell only 30,000 shares. VC2 was interested in 50,000 shares, Mr A decided to offer his 20,000 shares. So, 30,000 shares were Fresh issue (from authorised capital) and 20,000 shares Mr A shares are Offer for sale.

Hence Company received 30,000*10= 300,000 as Capital and 30,000*30= ₹9,00,000 as premium amount.

Mr A got 20,000*40= ₹ 8,00,000

Now Company shareholders and their number of shares are as follows

Shareholders	Shares
Anurag	80,000 shares
Balram	1,00,000 shares
Chirag	1,00,000 shares
VC1	50,000 shares
VC2	50,000 shares
Total shares	3,80,000 shares

Lets assume now the company has profit of ₹6,00,000 so,

Earning/Profit Per Share= 6,00,000/380,000= ₹ 1.58

Company was performing good, so decided to go Public means wanted to invite general public to purchase their company's share.When the first time company goes Public, it is known as IPO: Initial Public Offering.

Board meeting was held for the same, and after the consent of Board members, shareholders application was filled to Registrar of Companies and approval was received.

In the meeting, company had decided they will go Fresh Issue of 50,000 shares and 80,000 shares as offer for sale.

Proportion for offer for sale as:

A: 10,000 shares

B: 20,000 shares

C: 25,000 shares

VC1: 15,000 shares

VC2: 10,000 shares

The company took help of lead managers, to know about the fair valuation of their company and price band of the IPO. Lead managers suggested a price Band of 100-120. Means Face Value is ₹ 10 and Premium is from ₹ 90-110.

It is compulsory that IPO should be subscribed 90% plus, otherwise entire IPO process is a failure. Company took the help of underwriters which guaranteed them if the company's IPO process is not

subscribed, they will buy the remaining shares (according to percentage decided between company and Underwriters) and they will charge commission for it, which is known as underwriting Commission.

The Shares were fully subscribed and company allotted shares at ₹ 120 and company got capital and premium on 50,000 shares and rest money is taken by A,B,C, VC1 and VC2.

The company is now ABC Ltd, a public limited company.

Now Shareholding pattern of the company is:

Shareholders	Shares
Anurag	70,000 shares
Balram	80,000 shares
Chirag	75,000 shares
VC1	35,000 shares
VC2	40,000 shares
Other Shareholders	130,000 shares
Total shares	4,30,000 shares

The company is also got listed in the stock exchange after IPO.

If the company again wants to sell their shares to shareholders for Fresh Issue, Offer for sale or both, it will be known as FPO (Follow on Public Offer)